IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 11/4-1560/22

BETWEEN

MUHAMMAD FAIZIL BIN ROSNI ... CLAIMANT

AND

MW ADVANTECH SDN BHD ... COMPANY

(Consolidated with Cases No. 7/4-1617/22, 3/4-8/23 and 22/4-126/23 through Interim Award No. 2052 of 2023 dated 4th October 2023)

AWARD NO.: 1823 OF 2025

Before	: Y.A. PUAN NUR FAUZAH BINTI DATO' MOKHTAR - CHAIRMAN (Sitting Alone)
Venue	: Industrial Court of Malaysia at Kuala Lumpur
Date of Reference	: 07.11.2022.
Date(s) of Mention	: 14.12.2022, 03.04.2023, 03.05.2023, 18.09.2023, 26.02.2024, 21.06.2024, 14.10.2024 & 08.11.2024.
Date(s) of Hearing	: 08.08.2024 & 09.08.2024.
Representation	: For the Claimant – Mr. Bhavanash Sharma Ms. Amanda Lim Messrs Bhavanash Sharma For the Company – Ms. Nur Umairah Bt.Hamdan Human Resources Manager Ms. Sakinah Abd Wahab Human Resources Admin Executive

REFERENCE:

[1] This is a reference from the Director General for Industrial Relations to the Industrial Court of Malaysia under *subsection 20(3) of the Industrial Relations Act 1967* [*Act 177*] in respect of the dismissal of **MUHAMMAD FAIZIL BIN ROSNI**, **FARIDZUL HAFIFI BIN CHE HASIM**, **IRWAN ZAHRI BIN MOHAMED BUSTAMI** and **ABDUL RAZAK BIN MOHAMAD** ("the Claimants") by **MW ADVANTECH SDN BHD** ("the Company") on **10th March 2022**, **22nd March 2022**, **31st May 2022** and **8th March 2022**, respectively.

AWARD

[2] Pursuant to an Interim Award No.: 2052 of 2023 dated 4th October 2023, the present case No.: 11/4-1560/22 (Muhammad Faizil Bin Rosni v MW Advantech Sdn Bhd) was consolidated with cases No.: 7/4-1617/22 (Faridzul Hafifi Bin Che Hasim v MW Advantech Sdn Bhd), 3/4-8/23 (Irwan Zahri Bin Mohamed Bustami v MW Advantech Sdn Bhd) and 22/4-126/23 (Abdul Razak Bin Mohamad v MW Advantech Sdn Bhd). Following the said consolidation, all these cases were heard together by this Court.

[3] The hearing for the case No.: 11/4-1560/22 (Muhammad Faizil Bin Rosni v MW Advantech Sdn Bhd) was initially fixed on 18th October 2023 and 19th October 2023. Upon the consolidation of the said case with cases No.: 7/4-1617/22 (Faridzul Hafifi Bin Che Hasim v MW Advantech Sdn Bhd), 3/4-8/23 (Irwan Zahri Bin Mohamed Bustami v MW Advantech Sdn Bhd) and 22/4-126/23 (Abdul Razak Bin Mohamad v MW Advantech Sdn Bhd), the hearing dates for

these cases were then fixed for 8th August 2024 and 9th August 2024.

[4] Upon the application of the Company's representative, the 1st hearing date set on 8th August 2024 was postponed. The hearing for these cases then proceeded on 9th August 2024 and was concluded on the same day.

[5] The Company failed to call its sole witness. Whilst three (3) of the four (4) Claimants i.e. Muhammad Faizil Bin Rosni ("CLW1"), Faridzul Hafifi Bin Che Hasim ("CLW2") and Irwan Zahri Bin Mohamed Bustami ("CLW3") took the oath and provided their own testimony. Following the death of Abdul Razak Bin Mohamad ("CLW4"), an application was made by the Claimants' counsel for CLW4's son, i.e. Amir Hamzah Bin Abdul Razak, to take the oath and testify. In relation thereto, in accordance with paragraph 29(ea) of Act 177, this Court proceeded to allow Amir Hamzah Bin Abdul Razak to take the oath and testify on behalf of CLW4.

[6] In handing down this Award the following were considered by this Court:

(a) CLW1's Statement of Case dated 9th March 2023, CLW2's Statement of Case dated 3rd March 2023, CLW3's Statement of Case dated 9th March 2023 and CLW4's Statement of Case dated 16th March 2023;

(b) the Company's Statement in Reply in relation to CLW1 dated 6th April 2023, the Company's Statement in Reply in relation to CLW2 dated 20th April 2023, the Company's Statement in Reply in relation to CLW3 dated 8th June 2023 and the Company's Statement in Reply in relation to CLW4

dated 20th April 2023;

(c) CLW1's Rejoinder dated 19th May 2023, CLW2's Rejoinder dated 19th May 2023, CLW3's Rejoinder dated 5th September 2023 and CLW4's Rejoinder dated 19th May 2023;

(d) CLW1's Bundles of Documents marked as CLB1A and CLB2A, CLW2's Bundles of Documents marked as CLB1B and CLB2B, CLW3's Bundles of Documents marked as CLB1A and CLB2B and CLW4's Bundles of Documents marked as CLB1A, CLB1B and CLB1C;

(e) the Company's Bundles of Documents marked as COB1A, COB1B, COB1C and COB1D;

(f) Witness Statement of CLW1 marked as CLWS-1A, Witness Statement of CLW2 marked as CLWS-1B, Witness Statement of CLW3 marked as CLWS-1C and the Witness Statement of CLW4's son marked as CLWS-1D;

(g) the record of proceedings;

(h) the notes of proceedings;

(i) the Claimants' Written Submissions dated 10th October 2024;

(j) the Company's Written Submissions dated 23rd September 2024;

(k) the Claimants' Written Submissions in Reply dated 16th November 2024; and

(l) the Company's Written Submissions in Reply dated 11th November 2024.

Background Facts

[7] Based on the Claimants' Statement of Case, the Company's Statement in Reply, the Claimants' Rejoinder as well as the bundles of documents of the parties, this Court takes note of the following –

(a) the Company was formerly known as UMW Advantech Sdn Bhd, a wholly owned subsidiary of UMW Corporation Sdn Bhd. Pursuant to a Share Sale Agreement dated 21st June 2021 entered between UMW Corporation Sdn Bhd, as the Seller, and Crusk Assembler Sdn Bhd, as the Purchaser, Crusk Assembler Sdn Bhd acquired UMW Advantech Sdn Bhd on 29th November 2021. Following the said acquisition, UMW Advantech Sdn Bhd was renamed as MW Advantech Sdn Bhd;

(b) CLW1 started employment with UMW Corporation Sdn Bhd on 11th June 2012 and was confirmed in his employment on 11th December 2012. In total CLW1 was in employment with the Company for more than nine (9) years and seven (7) months. CLW1's last drawn salary was RM2,770.00. CLW1 further avers his employment contract with the Company was continuous and the benefits mentioned in the UMW Executive Handbook April 2020 binds CLW1 and the Company;

(c) CLW2 started employment with UMW Corporation Sdn Bhd and was in employment with the Company until 8th March 2023. CLW2 further avers his employment contract with the Company was continuous and the benefits mentioned in the UMW Executive Handbook April 2020 binds CLW2 and the Company;

(d) CLW3 started employment with UMW Corporation Sdn Bhd on 16th May 2005 and was confirmed in his employment on 16th November 2005. In total CLW3 was in employment with the Company for more than 16 years. CLW3's last drawn salary was RM5,755.00. CLW3 further avers his employment contract with the Company was continuous and the benefits mentioned in the UMW Executive Handbook April 2020 binds CLW3 and the Company;

(e) CLW4 started employment with UMW Corporation Sdn Bhd on 12th September 2011 and was confirmed in his employment on 13th November 2011. In total CLW4 was in employment with the Company for more than 11 years. CLW4's last drawn salary was RM5,175.00. CLW4 further avers his employment contract with the Company was continuous and the benefits mentioned in the UMW Executive Handbook April 2020 binds CLW4 and the Company;

(f) the Company had breached the terms agreed between parties and caused the cessation of the housing loan and car loan benefits mentioned in the UMW Executive Handbook April 2020 pursuant a memo dated

25th January 2022 to all MW Advantech Sdn Bhd's employees which came into effect on 1st February 2022; and

(g) the Claimants considered themselves constructively dismissed as they considered the Company had breached their employment contract as variation of their employment term were done unilaterally, without their approval and / or consent.

The Company's Case and Submissions

[8] The Company vide its Statement in Reply, the Company's Written Submissions and the Company's Written Submissions in Reply avers and submits that –

(a) the Company vehemently denies that the Claimants were constructively dismissed by the Company as alleged in the Claimant;

(b) the Claimants submitted their respective resignation letters as follows:

(i) resignation letter dated 11th February 2022 from CLW1 to the Company's Management informing that his resignation comes into effect on 11th February 2022 and his last day of service will be on 3rd March 2022;

(ii) resignation letter dated 23rd February 2022 from CLW2 to the Company's Head of Sale and the Company's Human Resource

Manager stating that "*[p]lease accept this letter as my formal notice of resignation*" and requesting the Company's Human Resource "*to confirm and revert on [his] final working day"* by replying to the said letter;

(iii) resignation letter dated 28th April 2022 from CLW3 to the Company's Human Resource Manager informing that he wishes "*…to resign and plead constructive dismissal from 1st May 2022 and ended duty on 31st May 2022*" as the "*…staff car loan and housing loan subsidy have been taken way…*" two (2) months after the new management of UMW Advantech Sdn Bhd took over. CLW3 further stated that as it is against the staff's benefit entitlement, the Company's action was a breach of CLW3's employment contract. In relation thereto, the Company further avers that CLW3's contention of constructive dismissal was baseless, devoid of merit and wholly unwarranted having regard to CLW3's conducts prior and pursuant thereto. The Company also avers that the breach complained of refers to the alleged promises made by the representatives of UMW Advantech Sdn Bhd which the Company was not privy to; and

(iv) resignation letter dated 9th February 2022 from CLW4 to the Company's Chief Operating Officer informing that his last day will be on 8th March 2022;

(c) immediately thereafter, the Company followed up with the Company's acceptance of the Claimants resignation as shown below:

(i) vide letter dated 14th February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW1's resignation letter with effect on 11th March 2022 and further stated that CLW1's last working day will be on 3rd March 2022;

(ii) vide letter dated 23rd February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW2's resignation letter with effect on 23rd March 2022 and further stated that CLW2's last working day will be on 28th February 2022;

(iii) vide letter dated 29th April 2022, the Company's Human Resource Manager forwarded the Company's acceptance of CLW3's resignation letter with effect on 1st June 2022 and further stated that CLW3's last working day will be on 29th April 2022; and

(iv) vide letter dated 10th February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW4's resignation letter with effect on 9th March 2022 and further stated that CLW4's last working day will be on 15th February 2022;

(d) the Claimants did not at any time, during their employment, indicate, inform and/or notify the Company of any breach allegedly committed by

the Company which goes to the root of their employment and/or provide any notice to the Company to remedy what they alleged as breach of their term of employment.

(e) the Claimants did not leave the Company immediately following the alleged breach of their term of employment but continued to work at the Company until their last day of employment;

(f) the use of the UMW Executive Handbook April 2020 is strictly for Management Employees of UMW Group of Companies and the Company pursuant to the Share Sale Agreement is not part of UMW Group of Companies. Hence, it is not binding on the Company and the continuous use of the UMW Executive Handbook April 2020 would amount to an infringement;

(g) the alleged representation by the representatives of UMW Corporation Sdn Bhd, in particular, that the Crusk Assembler Sdn Bhd shall maintain all terms and benefits to the employees, is wholly false and unwarranted as it is contrary to the agreement between the UMW Corporation Sdn Bhd and the Crusk Assembler Sdn Bhd, in particular paragraph 12.11 of Schedule 4 to the Share Sale Agreement;

(h) three (3) of the Claimants then forwarded to the Company an addendum to their respective resignation letter in the following manner –

(i) vide an addendum letter dated 16th March 2022 to the Company's

Human Resource Manager, CLW1, in reference to his resignation letter dated 11th February 2022, pleaded constructive dismissal as his "*…housing and car loan … had been taken way and … against [the staff's] benefit entitlement…*" two (2) months after the new management of UMW Advantech Sdn Bhd took over. CLW1 further stated the Company's action was a breach of CLW1's employment contract;

(ii) vide an addendum letter dated 16th March 2022 to the Company's Human Resource Manager, CLW2, in reference to his resignation letter dated 23rd February 2022, pleaded constructive dismissal as his "*…housing and car loan … had been taken way and … against [the staff's] benefit entitlement…*" two (2) months after the new management of UMW Advantech Sdn Bhd took over. CLW2 further stated the Company's action was a breach of CLW2's employment contract; and

(iii) vide an addendum letter dated 6th April 2022 to the Company's Human Resource Manager, CLW4, in reference to his resignation letter dated 9th February 2022, pleaded his resignation as constructive dismissal in view of the incident that happened on 9th February 2022 whereby he was verbally abused by the Executive Chairman, one Haji Zulkifli bin Kasim, with the intention to undermine his capabilities as a production and maintenance head of department and embarrass him before his peers and superior. CLW4 further stated in the said addendum letter that his terms of

employment had been altered as his housing loan and car loan benefits have been taken away;

(i) the CLW1's, CLW2's and CLW4's addendum to their respective resignation letter was an afterthought in order to facilitate a baseless, frivolous and wholly unwarranted claim against the Company; and

(j) in the Exit Interview Form, CLW1, CLW2 and CLW4, *inter alia*, stated that their pay was more than sufficient and also answered "*tiada*" when posed with the question "*What could we have done to prevent you from leaving?*".

[9] The Company further submits as follows:

(a) the applicable test for constructive dismissal cases is the contract test as stated by the Supreme Court in the case of *Wong Chee Hong v Cathay Organisation (M) Sdn Bhd* [1988] 1 CLJ (Rep) 298 and reaffirmed by the Federal Court in the case of *Tan Lay Peng v RHB Bank Berhad & Anor* [2024] MLJU 840;

(b) the contract test is further explained by the High Court in the case of *Bayer (M) Sdn Bhd v Anwar bin Abd Rahim* [1995] MLJU 558 and as such it is upon the Claimants to prove that the benefits;

(c) in reference to the Industrial Court case of *Yong Wee Teck v Silverwell Management Sdn Bhd* [2016] ILJU 59, it is upon the Claimants to prove that the benefits form part of their employment contract with the Company;

(d) in relation to the UMW Executive Handbook April 2020 –

(i) it is to be noted that the said Handbook was strictly for Management Employees of the UMW Group of Companies;

(ii) the Claimants failed to prove they fall within the "*Management Category*" as per the definition of "*employee*" in the UMW Executive Handbook April 2020;

(iii) Crusk Assembler Sdn Bhd being the current proprietor of the Company derives its rights and obligations from the Share Sale Agreement;

(iv) upon the acquisition of the Company by Crusk Assembler Sdn Bhd the Company is no longer part of the UMW Group of Companies as UMW Corporation Sdn Bhd and Crusk Assembler Sdn Bhd are two separate legal entities;

(v) thus the benefits including housing loan and car loan benefits mentioned in the UMW Executive Handbook April 2020 are not binding upon the Company; and

(vi) the Claimants have failed to prove that the housing loan and car loan benefits mentioned in the UMW Executive Handbook April 2020 form part of the employment contract between Crusk Assembler Sdn Bhd, as the new owners of the Company, and the Claimants. As

these terms did not form part of such employment contract, the cessation of such benefits cannot be said to be a breach of contract;

(e) the statements made during an online briefing session held on 25th June 2021 had occurred prior to Crusk Assembler Sdn Bhd's acquisition of the Company on 29th November 2021. As Crusk Assembler Sdn Bhd had no knowledge of the representations and/or misrepresentations made by UMW Corporation Sdn Bhd, Crusk Assembler Sdn Bhd cannot be held responsible, nor should it be bound to the statements made in the said briefing and/or any inducement caused by said statements;

(f) even if the benefits do form part of the Claimants employment contract with the Company, which the Company denies, then the Claimants have waived such breach due to their delay in alleging constructive dismissal against the Company. Another of the conditions set out in *Bayer* was that '*must not occasion any undue delay in terminating the contract, otherwise he will be deemed to have waived the breach and agreed to vary the contract'*. In this regard, reference is made to the Industrial Court case of *Pexxon Sdn Bhd v Sia Qui Yau* [1989] 1 ILR 240;

(g) as the Claimants have failed to discharge that burden in the absence of the Claimants' employment contract in evidence, the Claimants' claim must fail;

(h) in relation to CLW3, his letter of resignation in connection with the

cessation of the benefits was served almost three (3) months after the cessation of the benefits. Whilst the letters of resignation of CLW1, CLW2 and CLW4 were written amicably and there were no complaints nor claims of unfair dismissal contained within it. The complaints and allegations of constructive dismissal only appeared in the addendum to CLW1's, CLW2's and CLW4's respective resignation letter and were only issued after the Company had accepted their resignation letters;

(i) the letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd was never replied by the Company as it was never intended nor addressed to the Company;

(j) letter dated 15th December 2021 to the President/Group CEO of UMW Corporation Sdn Bhd which was carbon copied to Group Chairman, Independent Non-Executive Directors and Group Chief Human Resources of UMW Corportion Sdn Bhd was not directed to any executive member of Crusk Assembler Sdn Bhd;

(k) paragraph 2.1(k) and paragraph 12.8 in Schedule 4 to the Share Sale Agreement are part of the Warranties, i.e. statements in relation to UMW Advantech Sdn Bhd vis-a-vis its Employees and the Employees terms of service including the warranty that UMW Advantech Sdn Bhd is not involved in negotiations (whether with Employees or any trade union or other Employees' representative) to vary the terms and conditions of employment or engagement of any of its Employees or directors nor has it made any representations, promises, offers or proposals to any of its

Employees, and as such it is improper for the Claimants to suggest that the said Warranties prevent the Company from amending their employment terms;

(l) paragraph 12.11 in Schedule 4 to the Share Sale Agreement which also form part of the Warranties, provides that the UMW Corporation Sdn Bhd warrants to Crusk Assembler Sdn Bhd as the Purchaser that completion will not give rise to any other payment save for the normal contribution required to be made by an employer under the law; and

(m) it is clear that the Company is not prevented from changing its benefit scheme, despite the standard terms and conditions of employment, save for the normal contribution required to be made by an employer under the law. Therefore, it is improper for the Claimants to allege there was a breach of contract which entitles the Claimants to plead constructive dismissal.

The Claimants' Case and Submissions

[10] The Claimants aver –

(a) after the Share Sale Agreement was signed on 21st June 2021, a briefing with all the UMW Advantech Sdn Bhd employees and top management from UMW regarding the Sale of shares of the Company was schedule on 25th June 2021 via online telecommunication;

(b) during the briefing on 25th June 2021, the Director of Manufacturing and Engineering Division and AGM of Human Capital, one Zafrul Mutalib, who were acting for the Seller (i.e. UMW Corporation Sdn Bhd) made representations to all employees, *inter alia*, that all terms and benefits would not be changed and would be adhered to by the Purchaser (i.e. Crusk Assembler Sdn Bhd), who would now be 100% shareholder of the Company;

(c) pursuant to the online briefing session, 39 employees including the Claimants vide letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd, requested for a written confirmation to ensure that there would not be changes to the benefits including the housing loan and car loan;

(d) vide letter dated 15th December 2021 to the President/Group CEO of UMW Corporation Sdn Bhd, the Company was put on notice that 39 employees including the Claimants would not accept any unilateral amendments of their employment contract and terms therein;

(e) even though the letter dated 15th December 2021 was never replied by the Company and/or UMW, the Claimant pleads all terms were acknowledged by the Company and/or UMW;

(f) at the time of making the representations, the Director of Manufacturing and Engineering Division and AGM of Human Capital, who were acting for UMW Corporation Sdn Bhd during the briefing on 25th June 2021, intended

and/or very well knew, or ought to have known that all the employees of the Company would rely thereon and would be induced to work for the said Company upon the terms represented;

(g) the Company were under a duty to take care of what they had promised to the employees and in breach of the said duty, the seller was guilty of negligent and/ or innocent misrepresentation in making the said representation;

(h) relying on the representations by the management of UMW and the Share Sale Agreement, the Company had breached the terms agreed between parties and caused the cessation of housing loan and car loan benefits on 25th January 2022 via a memo handed to all the Company's employees effective 1st February 2022;

(i) the Share Sale Agreement whose rights also determines and binds the Claimants, must be read together with the oral representations made by UMW;

(j) in relation to the addendum to CLW1's, CLW2's and CLW4's respective resignation letter, CLW1, CLW2 and CLW4 have filled in an exit interview form whereby they had stated that all terms and benefits that were initially promised were unilaterally altered by the Company including and not limited to the car and housing loan benefits; and

(k) they considered themselves to be constructively dismissed by the

Company as they considered the Company's breach of their employment contract as variation of their employment term were done unilaterally, without their approval and /or consent.

[11] The Claimants further made the following averments –

(a) the Company was a subsidiary of UMW Corporation Sdn Bhd and upon the completion of the Share Sale Agreement between UMW Corporation Sdn Bhd and Crusk Assembler Sdn Bhd, the Company becomes the subsidiary of Crusk Assembler Sdn Bhd. Following thereto, the Company has and still is the same legal entity as before, except for the fact that the owner of the shares of the Company has changed;

(b) since the Company is essentially the same legal entity as before the Share Sale Agreement, all employees of the Company including the Claimants are continuing their tenure of employment as before the Share Sale Agreement. As such, all benefits as stated in the UMW Executive Handbook April 2020 is part of their employment contract until and unless a new written alteration to their employment contract has been put into writing and agreed by both Company and Claimant which was not done so;

(c) there is no evidence to show the Company even attempted to alter the contract of employment of the Claimants, albeit the general memo issued by the Company on 25th January 2022 unilaterally revoking the benefits that was put in place before the Share Sale Agreement wherein such

action tantamount to constructively dismiss the Claimants;

(d) CLW1, CLW2 and CLW4 via the exit interview form had communicated with the Company regarding the alleged breached by the Company;

(e) the Claimants did not leave the Company immediately as the Claimants wanted to act in good faith to not breach their employment contract until they sought proper legal advice to the rights and remedies available to them;

(f) the Claimants are bound by the UMW Executive Handbook April 2020 until and unless the changes to their employment contract is made in writing, which the Company had failed to do so and therefore both the Company and Claimants are bound by the UMW Executive Handbook April 2020. If the Company wishes not to be bound, the Company should have issued a new contract and/or alternation to the Claimants current employment contract but the Company failed to do so and merely issued a memo dated 25th January 2022, which is in violation of the Claimants' employment contract;

(g) the Company cannot in anyway push the blame of the misrepresentation entirely on to the UMW Corporation Sdn Bhd's employees who conducted the briefing on 25th June 2021, Crusk Assembler Sdn Bhd and/or the Company should have played an active role in the briefing if they had such intention to unilaterally alter the terms of employment of the employees including the Claimants' contracts, but they did not;

(h) the Claimants, as employees of the Company, had gone above and beyond to seek proper clarification but failed to get any response and so relied on the representation made via the online briefing session held on 25th June 2021 and were led to believe that there will be no changes to their employment contracts and all benefits received;

(i) at all material times the Claimants were not privy and were not aware of the contents to the Share Sale Agreement and therefore it is wrong for the Company to make reference to paragraph 12.11 in Schedule 4 to the Share Sale Agreement. Even if the Company wishes to make reference to the said term in the Share Sale Agreement, the Company had failed to take the necessary steps such as issuing new employment contracts in order to legally remove the said benefits; and

(j) the Company was only acquired by Crusk Assembler Sdn Bhd on 29th November 2021 while the letter to management was issued on 11th August 2021. Thus, it was only right for the Company's employees such as the Claimants to address this issue to the upper management of UMW Corporation Sdn Bhd and/or Company at that time which the Claimants did.

[12] The Claimants, *vide* the Claimants' Written Submissions and Submissions in Reply, submit as follows:

(a) even though Crusk Assembler Sdn Bhd or now known as MW Advantech

Sdn Bhd were not in the briefing with all the UMW Advantech Sdn Bhd employees and top management from UMW regarding the Sale of shares of the Company held on 25th June 2021 via online telecommunication, UMW had held a discussion with Crusk Assembler Sdn Bhd prior to the said briefing and would have received instructions from the Company;

(b) in reference to the Industrial Court cases of *Hee Lai Har v Kiara Realty [2012] 1 ILJ 270* and *Mohamad Yusri Amri Bin Mohd Darus v Safeguards G4S Sdn Bhd [2022] 2 ILJ 171*, unilateral variation of the Claimants' contract of employment, i.e. withdrawing the Claimants' benefits including the housing loan and car loan benefits, is void in law and clearly shows breach of contract which entitled the Claimants to claim for constructive dismissal;

(c) in reference to the Industrial Court case of *Tinus Wilting v Itasa Asia Sdn Bhd [2022] 2 ILJ 131,* the agreement between UMW Corporation Sdn Bhd and Crusk Assembler Sdn Bhd is a share sale agreement i.e. everything including the employees, the job scope of each employee, the salary of the employees, the benefits that has been provided for each employee should remain the same which includes the UMW Executive Handbook April 2020;

(d) based on the Supreme Court case of *Abdul Aziz Atan & Ors V Rengo Malay Estate Sdn Bhd [1986] 1 CLJ 373*, the High Court case of *Zamri Arshad & Ors v MISC Intergrated Logistics Sdn Bhd* [2018] 1 LNS 1103 and the Industrial Court case of *Bank Muamalat Malaysia Berhad v*

Che'rus Bin Husin & 30 Others [2002] ILJU 45, it can be concluded that, both UMW Advantech Sdn Bhd and MW Advantech Sdn Bhd are the same legal entity. This is because although UMW Corporation Sdn Bhd had sold 100% shares to Crusk Assembler Sdn Bhd, everything remains the same including terms of the employment contract and the UMW Executive Handbook April 2020; and

(e) as per the Industrial Court case of *Tan Cheng Chuan v UHY Tax Advisory Sdn Bhd* [2020] ILJU 123, the UMW Executive Handbook April 2020 forms part of the Claimants' employment contract and as it forms part of the Claimants' employment contract, the Company would need the employees' consent before revoking the benefits, which the Company had failed to do so.

Remedies sought by the Claimants

[13] The Claimants prays that this Court makes such order that their dismissal as without just cause and in breach of the terms and conditions stipulated in the Company's policies. The Claimants further pray they be awarded arrears of salary and all allowances thereof from the date of their dismissal (back wages) until reinstatement and/or damages in lieu of reinstatement if the Court deems fit and proper.

The Role of the Industrial Court, Burden of Proof and Standard of Proof

[14] It is noted that the role or function of the Industrial Court has been clearly

stated in the following cases:

(a) the Supreme Court case of *Wong Chee Hong v Cathay Organisation (M) Sdn Bhd* [1988] 1 CLJ (Rep) 298, where at p. 302, Salleh Abas LP, in delivering the judgment of the Supreme Court, referring to section 20 of the Industrial Relations Act 1967 said, "*When the Industrial Court is dealing with a reference under s. 20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse*"; and

(b) the Federal Court in the case of *Goon Kwee Phoy v J & P Coats (M) Bhd* [1981] 1 LNS 30, where His Lordship Raja Azlan Shah, CJ (Malaya) (as HRH then was) stated that "*Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it.*"

[15] It is further noted in cases where a claimant is dismissed by the company, the burden is on the company to proof that the dismissal was with just cause or

excuse. In the Industrial Court case of *Ireka Construction Berhad v Chantiravathan a/l Subramaniam James* [1995] 2 ILR 11, where at p. 15, the Learned Chairman, Her Ladyship Siti Saleha Dato' Sheikh Abu Bakar, stated "*It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be, either a misconduct, negligence or poor performance based on the facts of the case*".

[16] In the case of *Telekom Malaysia Kawasan Utara v Krishnan Kutty Sanguni Nair & Anor* [2002] 3 CLJ 314 the Court of Appeal had laid down the principle that the standard of proof that is required to prove a case in the Industrial Court is one that is on the balance of probabilities. His lordship Justice Abdul Hamid Mohamad, JCA stated "*[t]hus, we can see that the preponderant view is that the Industrial Court, when hearing a claim of unjust dismissal, even where the ground is one of dishonest act, including "theft", is not required to be satisfied beyond reasonable doubt that the employee has "committed the offence", as in a criminal prosecution. On the other hand, we see that the courts and learned authors have used such terms as "solid and sensible grounds", "sufficient to measure up to a preponderance of the evidence," "whether a case... has been made out", "on the balance of probabilities" and "evidence of probative value". In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is the civil standard based on the balance of probabilities, which is flexible, so that*

the degree of probability required is proportionate to the nature of gravity of the issue. But, again, if we may add, these are not "passwords" that the failure to use them or if some other words are used, the decision is automatically rendered bad in law".

[17] Thus, the role or function of the Industrial Court is to determine whether there was a dismissal and if so whether on the balance of probabilities the said dismissal was with just cause or excuse.

Issue to be determined

[18] In order for the Court to determine whether there was a dismissal and if so whether on the balance of probabilities the said dismissal was with just cause or excuse, the critical issue this Court would need to determine is whether there was constructive dismissal of the Claimants' employment by the Company.

Consideration and Evaluation of this Court

[19] The concept of constructive dismissal and its application to section 20 of Act 177 has been clearly stated by the Supreme Court in the case of *Wong Chee Hong v Cathay Organization (M) Sdn Bhd* [1988] 1 CLJ 45, [1988] 1 CLJ (Rep) 298. Salleh Abas LP, at pp. 300 – 302, stated, *inter alia*, as follows:

> "*In England where this expression originated there had been a great deal of unsettled opinions amongst chairmen of industrial tribunals and also among Judges who sat to hear appeals from those tribunals. According to*

the Court of Appeal in Western Excavation (ECC) Ltd. v. Sharp [1978] IRLR 27, it means no more than the common law right of an employee to repudiate his contract of service where the conduct of his employer is such that the latter is guilty of a breach going to the root of the contract or where he has evinced an intention no longer to be bound by the contract. In such situations the employee is entitled to regard himself as being dismissed and walk out of his employment.

…

When the Industrial Court is dealing with a reference under s. 20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse. … We think that the word "dismissal" in this section should be interpreted with reference to the common law principle. Thus it would be a dismissal if an employer is guilty of a breach which goes to the root of the contract or if he has evinced an intention no longer to be bound by it. In such situation the employee is entitled to regard the contract as terminated and himself as being dismissed. (See Bouzourou v. The Ottoman Bank [1930] AC 271 and Donovan v. Invicta Airways Ltd. [1970] Lloyd's LR 486)."

[20] The applicable test as regards constructive dismissal, i.e. the contract test, has also been laid down by the Supreme Court in the abovementioned case of *Wong Chee Hong v Cathay Organization (M) Sdn Bhd*. Salleh Abas LP, at pp. 301 – 302, stated, *inter alia*, as follows:

"*The common law has always recognized the right of an employee to terminate his contract of service and therefore to consider himself as discharged from further obligations if the employer is guilty of such breach as affects the foundation of the contract or if the employer has evinced or shown an intention not to be bound by it any longer. It was an attempt to enlarge the right of the employee of unilateral termination of his contract beyond the perimeter of the common law by an unreasonable conduct of his employer that the expression "constructive dismissal" was used. ... But many thought, and a few decisions were made, that an employee in addition to his common law right could terminate the contract if his employer acted unreasonably. Lord Denning MR, with whom the other two Lord Justices in the case of Western Excavation (supra) reiterating an earlier decision of the Court of Appeal presided by him (see Marriott v. Oxford and District Co-operative Society Ltd. [1969] 3 All ER 1126) rejected this test of unreasonableness. In no uncertain terms the learned Master of the Rolls declared that the test of dismissal … is a contract test.*

...

Thus it is clear that even in England, "constructive dismissal" does not mean that an employee can automatically terminate the contract when his employer acts or behaves unreasonably towards him. Indeed if it were so, it is dangerous and can lead to abuse and unsettled industrial relation. ... What is left of the expression is now no more than the employee's right under the common law, which we have stated earlier and goes no further.

Alternative expression with the same meaning, such as "implied dismissal" or even "circumstantial dismissal" may well be coined and used. But all these could not go beyond the common law test.

…

When the Industrial Court is dealing with a reference under s. 20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse. Dismissal without just cause or excuse may well be similar in concepts to the UK legislation on unfair dismissal, but these two are not exactly identical. Section 20 of our Industrial Relations Act is entirely different from para. (c) of s. 55(2) of the UK Protection of Employment Act 1978. Therefore we cannot see how the test of unreasonableness which is the basis of the much advocated concept of constructive dismissal by a certain school of thought in UK should be introduced as an aid to the interpretation of the word "dismissal" in our s. 20. We think that the word "dismissal" in this section should be interpreted with reference to the common law principle. Thus it would be a dismissal if an employer is guilty of a breach which goes to the ***root of the contract*** *or if he* ***has evinced an intention no longer to be bound by it****. In such situation the employee is entitled to regard the contract as terminated and himself as being dismissed. (See Bouzourou v. The Ottoman Bank [1930] AC 271 and Donovan v. Invicta Airways Ltd. [1970] Lloyd's LR 486).*"

[emphasis added]

[21] The contract test has been applied by the courts in Malaysia for purposes of constructive dismissal cases including by the Court of Appeal in the case of *CIMB Bank Bhd v Ahmad Suhairi Mat Ali & Anor* [2023] 4 ILR 1 whereby S Nantha Balan JCA, at pp. 7 – 10, wherein the Court of Appeal held as follows:

> "*[11] In Malaysia, the concept of "constructive dismissal" was given judicial recognition by the then Supreme Court in Wong Chee Hong v Cathay Organization (M) Sdn Bhd [1988] 1 CLJ 45; [1988] 1CLJ (Rep) 298; [1988] 1 MLJ 92, [1987] 1 MLRA 346 (SC) ("Wong Chee Hong"). …*
>
> *…*
>
> *[14] In the case of Bayer (M) Sdn Bhd v. Anwar Abd Rahim [1996] 2 CLJ 49; [1995] MLJU 558 (HC), Low Hop Bing JC (as he then was) applied the principle that was enunciated in Wong Chee Hong (supra) and reiterated that the test in a constructive dismissal case is not the "test of unreasonableness", but the "contract test". The learned judge rendered a lucid explanation on the test and the conditions which must be fulfilled in the following words (pp. 52 to 53 of the CLJ report):*
>
> > *In my judgment, in order to succeed in a claim for constructive dismissal, the employee must prove to the satisfaction of the Court that the employer is guilty of a breach which goes to the root of the contract or if the employer has evinced an intention no longer to be bound by it. It is only in such a situation that the employee is entitled to regard the contract as terminated and treat himself as being*

dismissed. Constructive dismissal does not mean that an employee can automatically terminate the contract when his employer acts or behaves unreasonably towards him. Indeed, if it were so, it is dangerous and can lead to abuse and unsettled industrial relations. Thus, it is settled law that the test applicable in a constructive dismissal case is "the contract test" and not "the test of reasonableness". To claim constructive dismissal, four conditions must be fulfilled. These conditions are:

(1) There must be a breach of contract by the employer;

(2) The breach must be sufficiently important to justify the employee resigning;

(3) The employee must leave in response to the breach and not for any other unconnected reasons; and

(4) He must not occasion any undue delay in terminating the contract, otherwise he will be deemed to have waived the breach and agreed to vary the contract…

[15] In Anwar Abdul Rahim v. Bayer (M) Sdn Bhd [1998] 2 CLJ 197; [1998] 2 MLJ 599 (CA), Mahadev Shankar JCA affirmed the decision of the High Court and reiterated that the test for constructive dismissal is the "contract test".

[16] At p. 205 (CLJ); pp. 605 to 606 of the MLJ report Justice Shankar said:

> *It has been repeatedly held by our courts that the proper approach in deciding whether constructive dismissal has taken place is not to ask oneself whether the employer's conduct was unfair or unreasonable (the unreasonableness test) but whether "the conduct of the employer was such that the employer was guilty of a breach going to the root of the contract or whether he has evinced an intention no longer to be bound by the contract".*

...

[18] From the perspective of the "contract test", constructive dismissal is essentially and conceptually predicated on the employer's unilateral variation of the contract of employment which amounts to a fundamental breach and regarded as conduct which is repudiatory of the contract of employment, entitling the employee to walk out and claim that he had been constructively dismissed.

[19] Thus, two questions arise for consideration in determining whether a claim based on constructive dismissal can succeed. The first question is - did the employer's conduct amount to a breach of the contract of employment going to the root of the contract, (ie, "fundamental breach")? The second question is - did the employee make up his mind and act at the appropriate point in time soon after the conduct of which he had

complained had taken place? This takes us to the question of delay on the part of the employee."

[22] Thus, based on the abovementioned cases, in a constructive dismissal case, such as the present case, the burden is on the Claimants to prove that on the balance of probabilities, based on the contract test, they have been constructively dismissed.

[23] As per the conditions laid down in the case of *Bayer (M) Sdn Bhd v. Anwar Abd Rahim* [1996] 2 CLJ 49; [1995] MLJU 558, the Claimants would have to fulfill the following four conditions –

(a) a breach of the terms of the contract of appointment by the Company;

(b) the said breach must be sufficiently important to justify the Claimants' claim of constructive dismissal;

(c) the Claimants left their employment in response to the breach and not for any other unconnected reasons; and

(d) there is no undue delay on the part of the Claimants in leaving their employment.

[24] Having considered the evidence given by the Claimant and the Company as well as the Bundles of Documents and submissions of both the Claimant and the Company, this Court makes the following observations –

(a) pursuant to a Share Sale Agreement between UMW Corporation Sdn Bhd and Crusk Assembler Sdn Bhd dated 21st June 2021 ("Share Sale Agreement"), UMW Corporation Sdn Bhd agreed to sell to Crusk Assembler Sdn Bhd all of the Sale Shares 100% of the issued share capital of UMW Advantech Sdn Bhd (i.e. 38,000,000 ordinary shares and 20,000,000 redeemable preference shares);

(b) UMW Advantech Sdn Bhd was a wholly-owned subsidiary of UMW Corporation Sdn Bhd as 100% of UMW Advantech Sdn Bhd's shares were owned UMW Corporation Sdn Bhd;

(c) UMW Advantech Sdn Bhd being a subsidiary of UMW Corporation Sdn Bhd is a separate legal entity from UMW Corporation Sdn Bhd. Following thereto, pursuant to the Share Sale Agreement, UMW Advantech Sdn Bhd still retains all its existing obligations, contracts and liabilities, including its employees and related employment contracts of the employees;

(d) upon the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd on 29th November 2021, UMW Advantech Sdn Bhd was renamed as MW Advantech Sdn Bhd ("the Company");

(e) it is the Claimants' contention that during their employment, they received the following benefits:

(i) housing loan subsidy;

(ii) car loan subsidy;

(iii) medical plan for the employee and his/her family;

(iv) annual paid leave;

(v) medical check-up once or twice a year;

(vi) travel allowance;

(vii) clothing allowance for oversea travel; and

(viii) dental check-up for the employee and his/her family; and

(ix) EPF contribution of 16%;

(x) workmen's compensation Insurance; and

(xi) other benefits based on the UMW Executive Handbook April 2020;

(f) prior to the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd, the Claimants, vide letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd, requested for a written confirmation to ensure that there would not be changes to the abovementioned benefits;

(g) following the completion of the Sale Shares and the renaming of UMW Advantech Sdn Bhd as MW Advantech Sdn Bhd (i.e. the Company), the Company's Human Resource and Administration Division, vide Memo dated 25th January 2022, informed that the "*…Employee housing loan and car loan interest subsidy (current and future) will be ceased effective 1st February 2022*";

(h) subsequent thereto, the Claimants submitted their respective resignation letters as follows:

(v) resignation letter dated 11th February 2022 from CLW1 to the Company's Management informing that his resignation comes into effect on 11th February 2022 and his last day of service will be on 3rd March 2022;

(vi) resignation letter dated 23rd February 2022 from CLW2 to the Company's Head of Sale and the Company's Human Resource Manager stating that "*[p]lease accept this letter as my formal notice of resignation*" and requesting the Company's Human Resource "*to confirm and revert on [his] final working day"* by replying to the said letter;

(vii) resignation letter dated 28th April 2022 from CLW3 to the Company's Human Resource Manager informing that he wishes "*…to resign and plead constructive dismissal from 1st May 2022 and ended duty on 31st May 2022*" as the "*…staff car loan and housing loan subsidy*

have been taken way…" two (2) months after the new management of UMW Advantech Sdn Bhd took over. CLW3 further stated that as it is against the staff's benefit entitlement, the Company's action was a breach of CLW3's employment contract; and

(viii) resignation letter dated 9th February 2022 from CLW4 to the Company's Chief Operating Officer informing that his last day will be on 8th March 2022;

(i) immediately thereafter, the Company followed up with the Company's acceptance of the Claimants resignation as shown below:

(i) vide letter dated 14th February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW1's resignation letter with effect on 11th March 2022 and further stated that CLW1's last working day will be on 3rd March 2022;

(ii) vide letter dated 23rd February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW2's resignation letter with effect on 23rd March 2022 and further stated that CLW2's last working day will be on 28th February 2022;

(iii) vide letter dated 29th April 2022, the Company's Human Resource Manager forwarded the Company's acceptance of CLW3's

resignation letter with effect on 1st June 2022 and further stated that CLW3's last working day will be on 29th April 2022; and

(iv) vide letter dated 10th February 2022, the Company's Human Resource & Admin Senior Manager forwarded the Company's acceptance of CLW4's resignation letter with effect on 9th March 2022 and further stated that CLW4's last working day will be on 15th February 2022; and

(j) three (3) of the Claimants then forwarded to the Company an addendum to their respective resignation letter in the following manner –

(i) vide an addendum letter dated 16th March 2022 to the Company's Human Resource Manager, CLW1, in reference to his resignation letter dated 11th February 2022, pleaded constructive dismissal as his "*…housing and car loan … had been taken way and … against [the staff's] benefit entitlement…*" two (2) months after the new management of UMW Advantech Sdn Bhd took over. CLW1 further stated the Company's action was a breach of CLW1's employment contract;

(ii) vide an addendum letter dated 16th March 2022 to the Company's Human Resource Manager, CLW2, in reference to his resignation letter dated 23rd February 2022, pleaded constructive dismissal as his "*…housing and car loan … had been taken way and … against [the staff's] benefit entitlement…*" two (2) months after the new

management of UMW Advantech Sdn Bhd took over. CLW2 further stated the Company's action was a breach of CLW2's employment contract; and

(iii) vide an addendum letter dated 6th April 2022 to the Company's Human Resource Manager, CLW4, in reference to his resignation letter dated 9th February 2022, pleaded his resignation as constructive dismissal in view of the incident that happened on 9th February 2022 whereby he was verbally abused by the Executive Chairman, one Haji Zulkifli bin Kasim, with the intention to undermine his capabilities as a production and maintenance head of department and embarrass him before his peers and superior. CLW4 further stated in the said addendum letter that his terms of employment had been altered as his housing loan and car loan interest subsidy has been taken away.

[25] Based on CLW1's addendum letter dated 16th March 2022, CLW2's addendum letter dated 16th March 2022, CLW3's resignation letter dated 28th April 2022 and CLW4's addendum letter dated 6th April 2022, the Claimants main contention in pleading constructive dismissal as their "*…housing and car loan … had been taken way and … against [the staff's] benefit entitlement…*" two (2) months after the new management of UMW Advantech Sdn Bhd took over. The Claimants further contended the Company's action was a breach of the Claimants' employment contract. The Claimants submit that the said benefits are included in the UMW Executive Handbook April 2020.

This Court's Findings

[26] As regards the Claimants' claim of constructive dismissal, this Court makes the following observations and findings –

(a) the Claimants submit –

(i) during an online briefing session held on 25th June 2021, one Anas Nasrun Mohd Osman, Director of Manufacturing and Engineering Division and one Zafrul Mutalib, AGM of Human Capital, who were acting for the Seller, made representation to all employees, *inter alia*, that all terms and benefits would not be changed and would be adhered to by the Purchaser, who would now be 100% shareholder of the Company;

(ii) UMW Corporation Sdn Bhd had entered into a discussion with Crusk Assembler Sdn Bhd prior to the online briefing session wherein during re-examination CLW2 stated "*[k]ita ada buat rakaman video yang bahawa UMW ada perbincangan bersama Crusk sebelum kitaorang dimaklumkan*";

(iii) pursuant to the online briefing session, 39 employees including the Claimants vide letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd, requested for a written confirmation to ensure that there would not be changes to the benefits including the housing loan and car loan; and

(b) the Claimants also submit –

(i) vide letter dated 15th December 2021 to the President/Group CEO of UMW Corporation Sdn Bhd, the Company was put on notice that 39 employees including the Claimants would not accept any unilateral amendments of their employment contract and terms therein;

(ii) the Memo dated 25th January 2022 from the Company's Human Resource and Administration Division informing that the "*...Employee housing loan and car loan interest subsidy (current and future) will be ceased effective 1st February 2022*" was a unilateral amendment of the employment contracts of the Company i.e. goes to the root of the Claimants' employment contract and therefore this have caused the Claimants to be constructively dismissed;

(iii) the Share Sale Agreement, which determines the Claimants' rights and binds the Claimants, must be read together with the oral representation that was made by the Company;

(iv) the addendum letters are continuous version of the resignation letters. Although the addendum letters were given approximately within 30 days, the Company would have known the reason for their resignation because the Claimants had stated their reason of resignation in the Exit Interview Form which was required by the

Company in their acceptance of the resignation letters. As numerous notices were given to the Company relating to the issue of the Claimants' benefits there were no delay in their resignation that would warrant any acceptance of the Company's unilateral amendments to their benefits enjoyed; and

(v) the Company's contention that they did not receive the constructive dismissal letters from the Claimants was a mere denial as the letters were addressed to the Company and these letters were adduced in Court and tendered as evidence without any objection from the Company.

[27] Upon perusal of the UMW Executive Handbook April 2020, this Court makes the following observations and findings:

(a) the Claimants commenced employment with UMW Advantech Sdn Bhd prior to 1st January 2020, i.e. prior to the effective date of the UMW Executive Handbook April 2020;

(b) some of the benefits mentioned in the letter dated 11th August 2021 are flexi-benefits covered under the UMW Flexible Benefits Scheme in the UMW Executive Handbook April 2020;

(c) para no. 4 under the subheading "*UMW Flexible Benefits Scheme*" states, *inter alia*, the "*UMW Flexi-Benefits also opens for existing Management employees. Employees may voluntarily opt for Flexi-Benefits scheme*

otherwise they may remain under the Structured Benefits if requires so";

(d) as the Claimants aver that the benefits contain in the UMW Executive Handbook April 2020 applied to the Claimants, thus in all likelihood the Claimants had voluntarily opted for the said flexi-benefits laid down in the UMW Executive Handbook April 2020 as provided under para no. 4 under the subheading "*UMW Flexible Benefits Scheme*" as mentioned above; and

(e) as regards the housing loan and car loan benefits mentioned in the letter dated 11th August 2021, it is noted that these are covered under Part G – "*loan, interest subsidy & staff discount scheme*" in the UMW Executive Handbook April 2020.

[28] This Court takes note that for purposes of the housing loan and car loan benefits stipulated in the UMW Executive Handbook April 2020, the following are observed –

(a) para no.1 of the "*Preamble*" to the UMW Executive Handbook April 2020 states that the "*...Terms and Conditions of Service contained in this handbook are applicable to employees who are hired under regular employment by UMW Group of Companies on full time basis and under the category of Management Employees*"; and

(b) for purposes of para no.1 mentioned above, the term "*Management Employees*" is not defined under the "*Definition*" section. Be that as it may,

the terms "*Management*" and "*Employees*" referenced therein are defined under the "*Definition*" section, respectively, as follows –

(i) "*Management*" – in this context, Management refers to the President & Group CEO, Group Chief Human Resource Officer or any other delegated authority; and

(ii) "*Employee*" – refers to any person employed in full time service by the Group/Company within the Management Category;

(c) in relation to the word "*Group*" referenced in the abovementioned definition of "*Employee*", it refers to UMW Group of Companies including UMW Corporation Sdn Bhd and its Subsidiaries;

(d) in relation to the term "*Delegated Authority*" referenced in the abovementioned definition of "*Management*", –

(i) the term refers to a person who has been delegated with authority by the Management to act in a specified area of responsibility in matters relating to human capital activities; and

(ii) reference to the term "*human capital activities*" is made in the definition of "*Delegated Authority*". It is noted that the term "*human capital activities*" is not defined under the "*Definition*" section. Be that as it may, the term "*Human Capital Division*" is found under the "*Definition*" section and is defined as follows:

"*Group Human Capital Division or the respective Human Capital / Resource Departments at SBUs / Operating Companies (as the case may be) which has been given the responsibility to administer the human capital activities on behalf of the Group. The Human Capital Departments at SBUs / Operating Companies for this purpose refer to:*

HC – Automotive Division

HC – Equipment Division / HC – East Malaysia Operations

HC – Manufacturing & Engineering Division / HC – KYB – UMW Malaysia Sdn Bhd"; and

(e) based on para no.1 of the "*Preamble*" and the definitions of "*Management*", "*Employee*" and "*Delegated Authority*" as mentioned above, it seems that the terms and conditions of the housing loan and car loan contained in UMW Executive Handbook April 2020 are applicable to any person employed in full time service by the UMW Group of Companies, including UMW Corporation Sdn Bhd and its Subsidiaries, within the Management Category i.e. the President & Group CEO, Group Chief Human Resource Officer or any person who has been delegated with authority by the Management to act in a specified area of responsibility in matters relating to automotive, equipment and manufacturing & engineering activities.

[29] In relation to the above, this Court further notes it is the Company's submissions that, *inter alia*, there is no testimony from any of the Claimants to

suggest they are Management Employees at the material time to be entitled to the benefits they premise their claim on.

[30] However, taking into consideration the terms contained in para no.1 of the "*Preamble*" to the UMW Executive Handbook April 2020 and the fact that UMW Advantech Sdn Bhd was a subsidiary of UMW Corporation Sdn Bhd and formed part of the UMW Group of Companies, this Court observes that there is nothing to suggest that the UMW Executive Handbook April 2020 did not apply to the Claimants when they were under the employment of UMW Advantech Sdn Bhd.

[31] Furthermore, if the UMW Executive Handbook April 2020 did not apply to the Claimants when they were under the employment of UMW Advantech Sdn Bhd, it would not have made sense for 39 employees including the Claimants to request vide letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd for a written confirmation to ensure that there would not be changes to the benefits including the housing loan and car loan.

[32] Based on the above considerations, this Court is of the view that the UMW Executive Handbook April 2020 was applicable to the Claimants when the Claimants were employed by UMW Advantech Sdn Bhd. Having considered relating to the same, this Court would now have to consider whether the UMW Executive Handbook April 2020 had been explicitly incorporated into the Claimants' employment contract.

[33] In consideration of whether the UMW Executive Handbook April 2020 was explicitly incorporated into the Claimants' employment contract, this Court

makes the following observations:

(a) as per the "*Acknowledgment and Consent of Executive Handbook*" page, the Employee was required to acknowledge and consent, *inter alia*, as follows "*…I also understand that the Handbook remains at all times the property of the Company and upon my cessation of employment, I shall return the Handbook to the immediate supervisor of the Company*";

(b) para no.1 of the "*Preamble*" to the UMW Executive Handbook April 2020 states, *inter alia,* the "*…Terms and Conditions of Service contained in this handbook are applicable to employees who are hired under regular employment by UMW Group of Companies on full time basis and under the category of Management Employees*"; and

(c) para no.4 of the "*Preamble*" to the UMW Executive Handbook April 2020 states, *inter alia,* the "*…Terms and Conditions as contained herein should be interpreted as guidelines only…*".

[34] As the Claimants' employment contracts have not been produced before this Court and the benefits contained in the UMW Executive Handbook April 2020 were to be interpreted as mere guidelines as well as taking into consideration that the UMW Executive Handbook April 2020 was only applicable to the employees of UMW Group of Companies wherein upon the cessation of employment from UMW Group of Companies the UMW Executive Handbook April 2020 would have to be returned to UMW Group of Companies, this Court could not but deduce that the UMW Executive Handbook April 2020 had not been

explicitly incorporated into the Claimants' employment contract.

[35] Following thereto, this Court would now need to consider whether the UMW Executive Handbook April 2020 would still be applicable to the Claimants upon the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd on 29th November 2021 and UMW Advantech Sdn Bhd being renamed as MW Advantech Sdn Bhd ("the Company").

[36] In determining whether the UMW Executive Handbook April 2020 would still be applicable to the Claimants upon the completion of the sale and purchase of the Sale Shares, further perusal of the Share Sale Agreement would have to be made. Having perused the Share Sale Agreement this Court notes in particular –

(a) Clause 18 stipulates as follows:

"*This Agreement constitutes the whole agreement between the Parties as to the subject matter hereof and supersedes all prior agreements whether express or implied*";

(b) Schedule 4 to the Share Sale Agreement contains Warranties provided by UMW Corporation Sdn Bhd in respect of UMW Advantech Sdn Bhd. For purposes of Schedule 4, the Warranties include the following:

(i) paragraph 2.1(k) – "*the Company has not engaged or dismissed any*

Employee and the Company has not change the terms of service of any director, executive or Employee";

(ii) paragraph 2.1(l) – "*no sum or benefit has been paid or granted or agreed to be paid or granted to any executive, director or Employee of the Company by way of remuneration, bonus, incentive or otherwise in excess of the amounts paid or granted to them by the Company at the Accounting Date so as to increase their total emoluments*";

(iii) paragraph 12.1 – "*All contracts of employment made by the Company are in writing*";

(iv) paragraph 12.8 – "*The Company is not involved in negotiations (whether with Employees or any trade union or other Employees' representatives) to vary the terms and conditions of employment or engagement of any of its Employees or directors nor has it made any representations, promises, offers or proposals to any of its Employees or directors or to any trade union or other Employees' representatives concerning or affecting the terms and conditions of employment or engagement of any of its Employees or directors*"; and

(v) paragraph 12.11 – "*Save for the normal contribution required to be made by an employer under the law, Completion will not give rise to the payment of any remuneration, payments or benefits of any*

enhancements or accelerations thereof by the Company to any Employee whether in accordance with the standard terms and conditions of employment of such Employee or otherwise".

[*NB: "the Company" in the abovementioned paragraphs of Schedule 4 relates to UMW Advantech Sdn Bhd and should not be wrongly construed as the Company i.e. MW Advantech Sdn Bhd for purposes of this Award*]

[37] Based on this Court's perusal of the Share Sale Agreement and the relevant paragraphs of Schedule 4 to the Share Sale Agreement, i.e. in particular Clause 18, paragraph 12.8 and paragraph 12.11 as mentioned above, this Court notes that no reference has been made in the Share Sale Agreement as regards the UMW Executive Handbook April 2020 and no specific provision has been expressly stated to include in the Share Sale Agreement the benefits specified in the UMW Executive Handbook April 2020.

[38] In relation to the above and pursuant to the earlier paragraphs under this subheading, this Court observes that –

(a) UMW Advantech Sdn Bhd was a wholly-owned subsidiary of UMW Corporation Sdn Bhd as 100% of UMW Advantech Sdn Bhd's shares were owned UMW Corporation Sdn Bhd;

(b) as a subsidiary of UMW Corporation Sdn Bhd, UMW Advantech Sdn Bhd has a distinct and separate legal entity from UMW Corporation Sdn Bhd;

(c) pursuant to the Share Sale Agreement and upon the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd on 29th November 2021, the ownership of UMW Advantech Sdn Bhd has actually been transferred to Crusk Assembler Sdn Bhd; and

(d) as the ownership of UMW Advantech Sdn Bhd has been transferred to Crusk Assembler Sdn Bhd, UMW Advantech Sdn Bhd (now renamed as MW Advantech Sdn Bhd), i.e. the Company, is no longer a subsidiary of UMW Corporation Sdn Bhd and no longer formed part of UMW Group of Companies.

[39] Having made the above observations, it is evident that upon the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd on 29th November 2021, the UMW Executive Handbook April 2020 was not applicable to the Company as the Company do not formed part of UMW Group of Companies.

[40] The fact that the Claimants wrote the letter dated 11th August 2021 to the Human Resource Department of UMW M & E Sdn Bhd for a written confirmation that there would not be changes to the benefits including the housing loan and car loan goes to show that the Claimants were aware, from the outset, of the implications related to the Share Sale Agreement i.e. the UMW Executive Handbook April 2020 was no longer applicable to the Claimants upon the completion of the sale and purchase of the Sale Shares of UMW Advantech Sdn

Bhd by Crusk Assembler Sdn Bhd on 29th November 2021.

[41] This was further corroborated by the fact that the employees wrote to the President / Group CEO of UMW Corporation Sdn Bhd vide letter dated 15th December 2021 as regards the total acquisition of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd wherein the employees stated, *inter alia*, as follows:

> "*2. Walaupun perkara ini disambut dengan perasaan berbelah bahagi, kami benar-benar faham dan akur akan penjualan ini, kerana ini adalah termasuk di dalam rencana penting masa depan UMW.* ***Sudah pasti kami tidak gembira kerana kami bukan lagi bekerja dengan UMW****, yang tersenarai sebagai salah satu syarikat GLC yang terbaik di Malaysia.*
>
> *…*
>
> *4. … Pada pandangan kami, perkara ini adalah amat tidak bertimbang rasa dan menyedihkan kerana kami juga memerlukan ruang untuk membuat keputusan. Pada pengetahuan kami, setiap pekerja di negara ini layak untuk memilih majikan di mana dia bekerja.*
>
> *5. Layanan seperti ini tidak sepatutnya berlaku kepada pekerja UMW sendiri kerana UMW adalah sebuah syarikat yang mempunyai reputasi yang baik di dalam menjaga kebajikan pekerja-pekerjanya. Perkara ini sama sekali tidak mencerminkan sebuah syarikat yang sering menjalankan aktiviti komunikasi korporat di dalam dan di luar UMW.*

Layanan kepada pekerja sebegini amat berlawanan dengan imej korporat yang dibawa oleh UMW di dalam rangkaian pengiklanan syarikat ke seluruh negara.

6. Kami beranggapan masih ada cara terbaik yang boleh dilakukan oleh pihak UMW untuk mengendalikan pekerja yang terlibat. …"

[42] In relation to the above, the Company's action in forwarding the internal Memo dated 25th January 2022 to the Company's employees was essentially to address the matters raised by the Claimants to the Human Resource Department of UMW M&E Sdn Bhd vide letter dated 11th August 2021. This Court further finds that there was no delay by the Company in conveying the said Memo dated 25th January 2022 to all employees as the sale and purchase of the Sale Shares of UMW Advantech Sdn Bhd by Crusk Assembler Sdn Bhd was only completed on 29th November 2021.

[43] Following thereto, this Court finds the evidence clearly established that the benefits specified in the UMW Executive Handbook April 2020, including the housing loan and car loan, were not part of the Claimants terms of employment under the Company i.e. MW Advantech Sdn Bhd. As such, the issuance of the Memo dated 25th January 2022 by the Company as regards the cessation of housing loan and car loan benefits could not be considered as varying the Claimants terms of employment, be it expressed and/or implied.

[44] Pursuant to the abovementioned circumstances, this Court finds that Claimants have not succeeded in proving on the balance of probabilities that

they have been constructively dismissed.

[45] Since the Claimants have failed to prove that they have been constructively dismissed, then whether there was a dismissal and if so, based on the balance of probabilities whether the dismissal was for cause or just cause do not require further determination by this Court.

[46] Therefore, taking into account subsection 30(5) of Act 177, this Court decides that the Claimants' case are hereby dismissed.

HANDED DOWN AND DATED THIS 27TH DAY OF NOVEMBER, 2025.

-signed-

(NUR FAUZAH BINTI DATO' MOKHTAR)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
AT KUALA LUMPUR